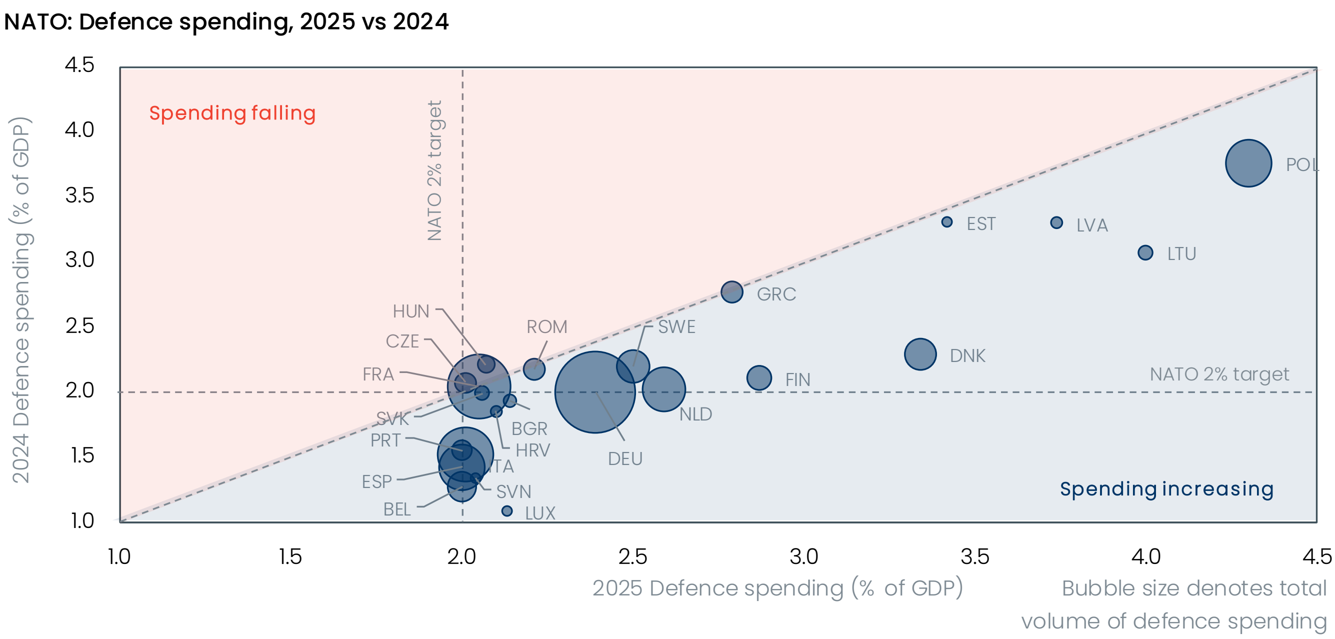
Rearming Europe – capacity and fiscal constraints cap the economic dividend

- **Europe's defence spending ramp up in 2025 was slightly faster and tilted more towards domestic production than we had expected. But the outperformance was modest and flattered by accounting methods, and so doesn't warrant a revision to our forecast of a gradual, mild boost to Europe's economy.**
- **Although growth in Europe's defence production is strong, orders are rising well in excess of the scale up in capacity. This is leading to bottlenecks and price pressures – around 40% of equipment spending is leaking abroad. These ongoing capacity constraints will make further gains in equipment spending difficult.**
- **The benefits from rising demand are increasingly reverberating along the defence sector's supply chain, partially offsetting the energy supply shock from the Middle East conflict and the structural downturn in energy-intensive manufacturing. This is more pronounced in advanced inputs like electronics and optical products; whereas for basic inputs like metals or chemicals the defence ramp up mitigates but doesn't reverse the decline.**
- **The modest spillovers to wider growth mean the largely deficit-financed defence ramp up is a net strain on public finances. In light of the energy shock, this is adding to the need to offset spending with tax hikes or expenditure cuts elsewhere. We see a risk of defence spending slippage in fiscally-vulnerable countries.**

It's been a year since The Hague NATO summit at which the alliance set the new defence spending target of 5% of GDP annually (3.5% on core defence), to be reached by 2035. One year on, how has EU defence spending changed and what is the near-term impact on production and each country's fiscal position?

Chart 1: EU countries collectively significantly increased their defence spending in 2025



Sources: Oxford Economics, NATO

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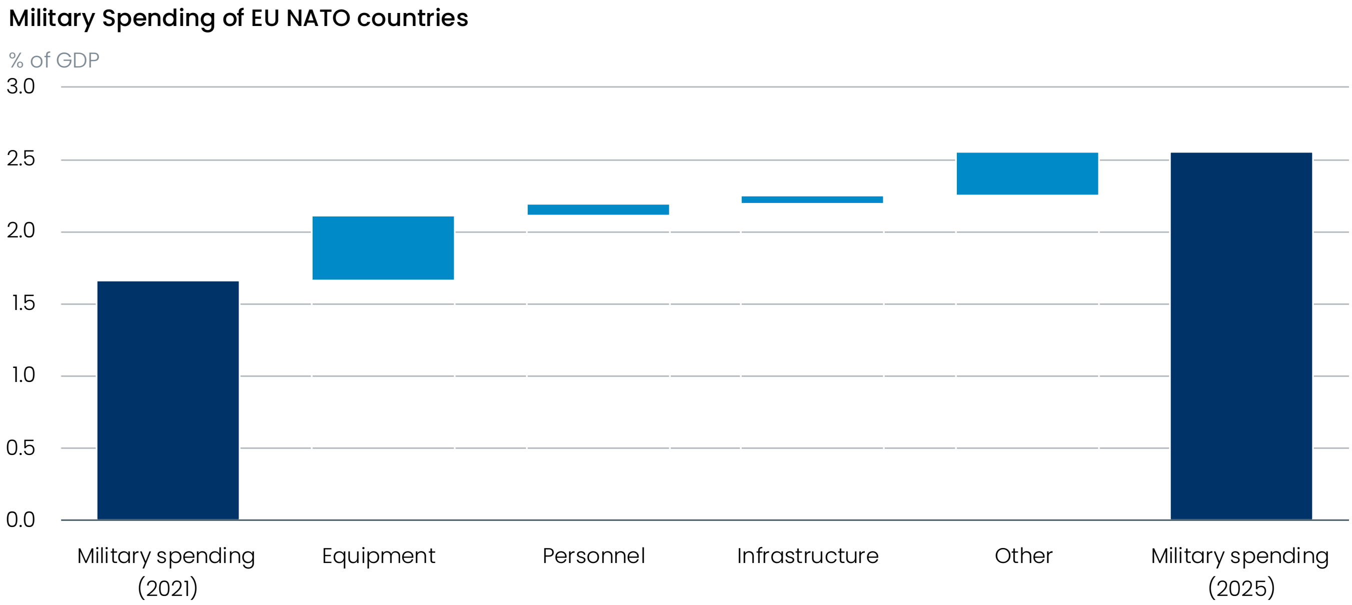
No surprises in the defence spending ramp up – slow and uneven

The progress in European defence spending has generally followed our expectations over the past year. The latest NATO data, still based on self-reporting, show all EU NATO countries managed to hit the old target of 2% of GDP, with the EU NATO aggregate rising to 2.5%, a sizeable increase of 0.4ppts over 2024 (Chart 1). Among EU NATO countries, defence spending (as a share of GDP) fell only in Hungary and Czech Republic last year, while the Baltics, Poland, and Denmark continued to lead the pack at over 3% of GDP.

Looking at the different components, the EU increase in defence spending came primarily from equipment spending, which alone contributed around 0.5ppts of the 0.9ppt total increase relative GDP since 2021 (Chart 2). Of the largest economies, both Germany and Spain raised their defence spending most.

Across all EU countries, the equipment share as a total of spending is now around one-third for the aggregate NATO EU countries, up from a quarter five years ago. This is broadly on par with the US and in line with our expectations. Some of the gain represents replenishment of stockpiles transferred to Ukraine rather than genuine new investments, but the overall increase in defence spending is significant. We expect equipment to continue to make up over one-third of total defence spending as the multi-year procurement plans to modernise EU countries' militaries ramp up in the coming years.

Chart 2: Higher equipment spending accounts for the largest share in the overall increase



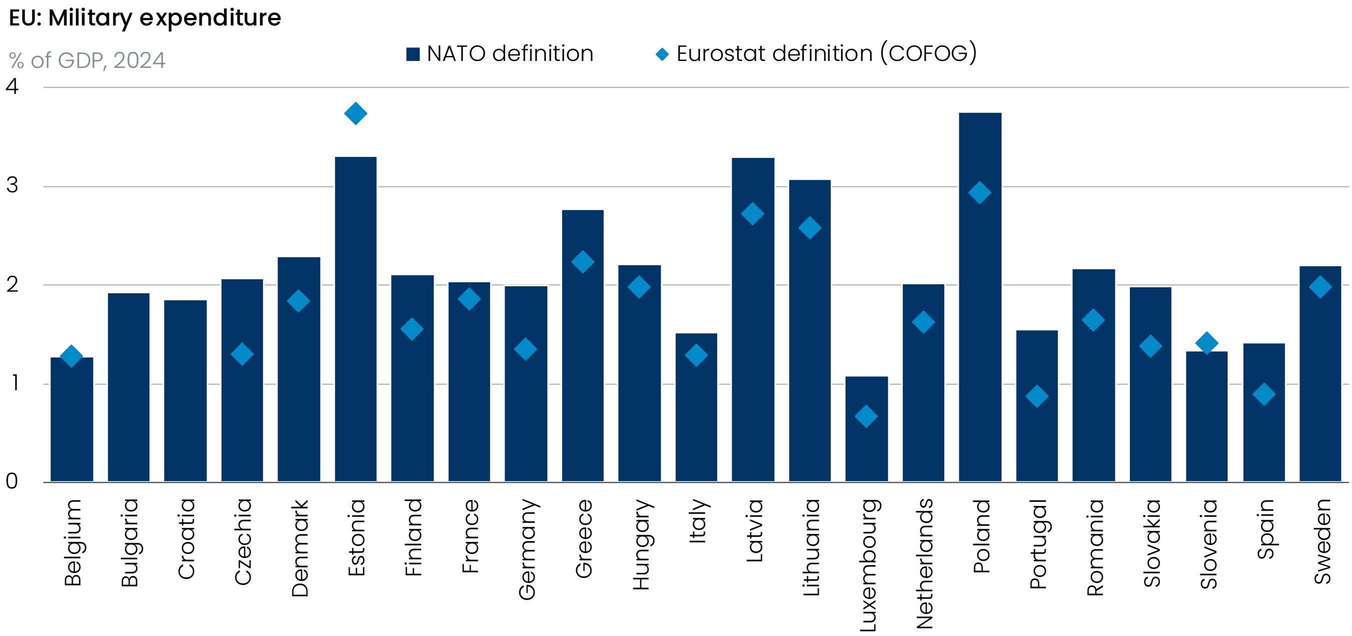
Sources: Oxford Economics, Haver Analytics

Military expenditure under the NATO definition tends to be higher than that reported by Eurostat (Chart 3), whose data is available only up to 2024. This discrepancy is partly due to differences in accounting methodology: NATO figures include military pensions and are recorded on a cash basis; Eurostat follows an accrual-based approach and also includes civil defence expenditure, which is excluded from the NATO definition.

Overall, the EU defence spending ramp-up continues to broadly fit our expectations. Although defence spending as reported in NATO data is running slightly ahead of our projections, some caution is warranted when interpreting the figures. While the NATO methodology provides timely and relatively clear and unified standards for counting defence spending, it can be distorted in several ways.

First, advances paid for multi-year procurement are tallied on a cash basis, which can inflate current figures ahead of delivery. Coupled with the NATO figures being self-reported, we think they mildly overstate the actual defence spending.

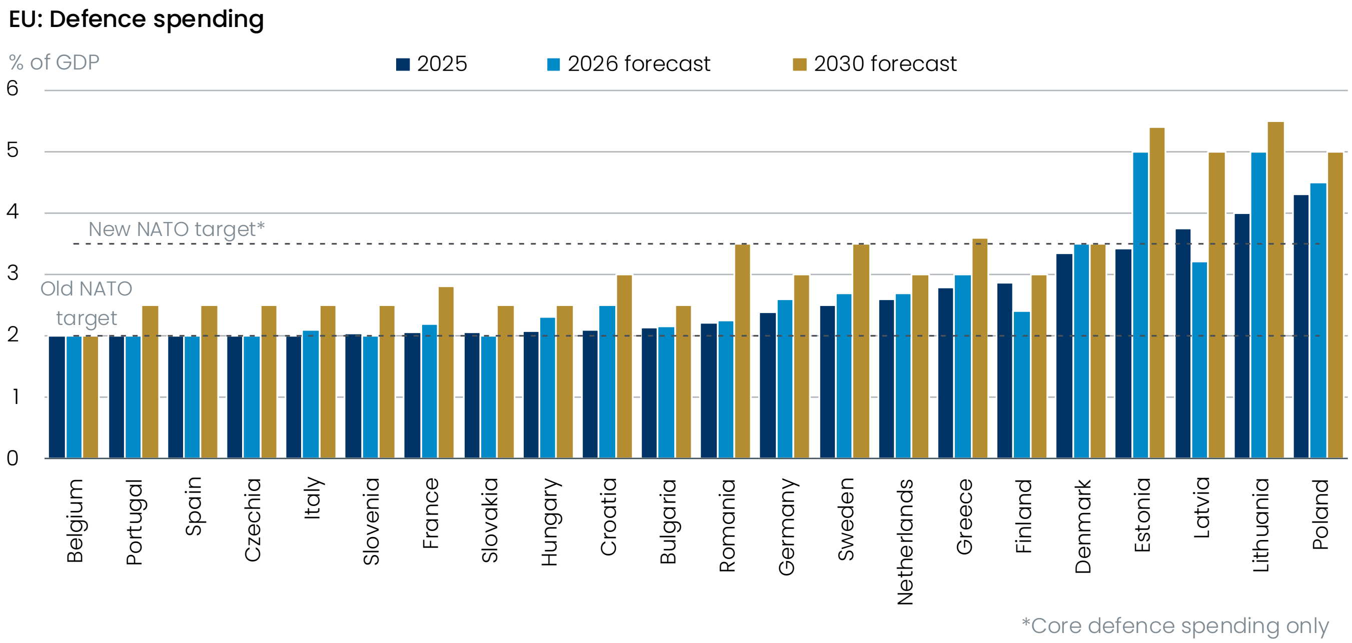
Chart 3: NATO data on military spending are consistently higher than in the Eurostat methodology



Sources: Oxford Economics, NATO, Eurostat, Haver Analytics

Second, with the new 1.5% infrastructure target component, there isn't overall ex-ante clarity on what projects are to be included. NATO guidelines state that only parts of infrastructure investment directly linked to defence – for example, strengthening of bridges to allow for transport of heavy military equipment – count, rather than an entire motorway construction. Some anecdotal evidence suggests countries are trying to pass off civilian investments with a minimal military component (such as hospitals) as defence spending.

Chart 4: Defence spending in 2026 to rise modestly, as signs of fatigue in some countries show



Sources: Oxford Economics, NATO

What's more, we don't expect the ramp up to continue at the same pace this year despite the sizeable rise in 2025, as production bottlenecks will hinder a faster increase. For this year, our economists expect only a marginal increase for the EU as a whole, rising 0.1ppts to 2.6% of GDP. Among the largest economies, we expect Germany to post an increase of 0.2ppts GDP, and just 0.1ppts for Italy and France. Spain is not expected to post any increase (Chart 4). This compares with increases of around 0.5ppts this year in Germany, Italy and Spain, while French spending was flat as a share of GDP. We expect Poland, the Baltics and Nordics to continue to be leaders in defence spending.

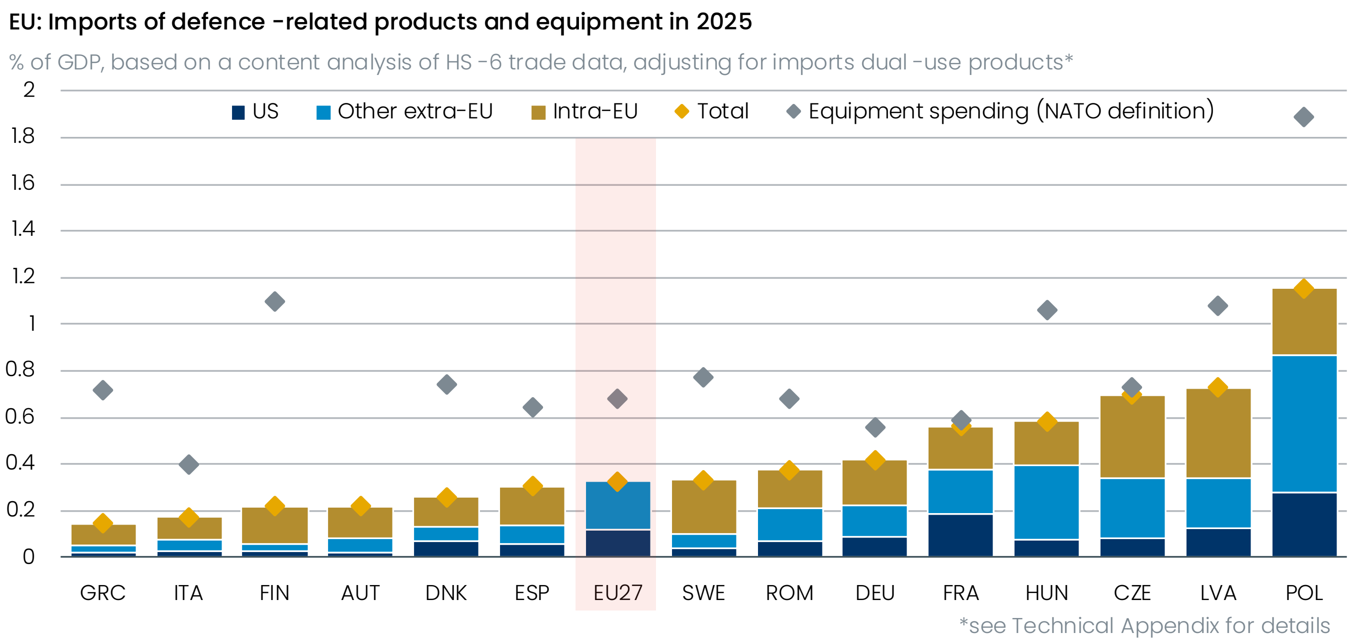
Reliance on imports is smaller than expected

The boost in defence equipment spending has been significant over the past few years but the support to overall GDP growth has been limited. One of the key reasons defence spending has relatively low multipliers in Europe is the high import leakage. Europe has a complex defence manufacturing sector, but low initial capacity and gaps in some capabilities and home-grown technologies mean a sizeable amount of defence equipment is imported.

In our initial projections, we assumed around half of equipment would be imported from outside the EU, limiting the boost to EU's GDP. However, based on our analysis of granular trade data (see Technical Appendix), the import share is smaller – we estimate Europe currently imports around 40% of its defence equipment spending (Chart 5).

This number is likely skewed upwards by purchases to supply Ukraine, where speed is essential rather than the focus on domestic production. Still, lower-than-expected import leakage may have been part of the reason for European industry's relative resilience to the US tariff shock last year and to this year's energy shock. We will revisit our forecast assumptions in light of this data, but any economy-wide revisions are likely to be minor.

Chart 5: EU imported around 40% of total defence equipment spending in 2025, with significant intra-EU trade



Sources: Oxford Economics, Eurostat, NATO

The ramp up in the defence manufacturing capacity across Europe may lead to the import share gradually falling further in the coming years, with more of the government spending on defence remaining in Europe. However, Europe will rely on imports for some key technologies – long-range strike capabilities, long-range air defences, early warning and detection, tactical lift, fifth-generation stealth fighters, and large drones – for the foreseeable future.

Given the growing importance of AI on the battlefield, Europe also risks falling behind in R&D and deployment, as well as being reliant on microchip imports for its defence sector. Each of these areas is currently being addressed through joint European R&D and manufacturing ventures, but these won't come to the production stage in the next few years.

Within Europe, there are significant cross-border spillovers in defence procurement. These involve joint production ventures and licensing – at present mostly in armoured fighting vehicles (Leopard 2A8 tanks, CV90 IFVs, Boxer AFVs), artillery ammunition and missiles (IRIS-T and MBDA) – but also the wider supply chains in metals, chemicals, plastics, and electronics. Aside from the large defence manufacturing sectors in Germany, France, and Italy, the main beneficiaries are the diverse manufacturing bases in Central and Eastern Europe and the Nordics.

These ventures help to limit the home bias in defence equipment procurement, which is still present in the EU as countries aim to protect their domestic defence manufacturing champions. The failure of the FCAS sixth-generation fighter programme over the share of domestic production is a clear example. Estimates suggest 75% of procurement still goes to domestic companies, with some countries (e.g. Poland) preferring speed over EU-based production.

The lack of granular data and the specific nature of defence procurement (with significant home bias and security clearance requirements) makes quantifying defence spending spillovers difficult. Using input-output modelling (see Technical Appendix), we estimate that spending on weapons and ammunition has a wider manufacturing sector multiplier of around 0.5, with the largest gains in absolute terms concentrated in basic metals, fabricated metals, and machinery and equipment.

In relative terms, electronics, computers, and optical production also benefit. Logistics, finance and wholesale trade are the winners in the services sector. Focussing specifically on the German defence ramp up, we estimate the largest beneficiaries of the induced demand are Italian, French, Austrian, and Polish manufacturing sectors, alongside leakages to the US and China.

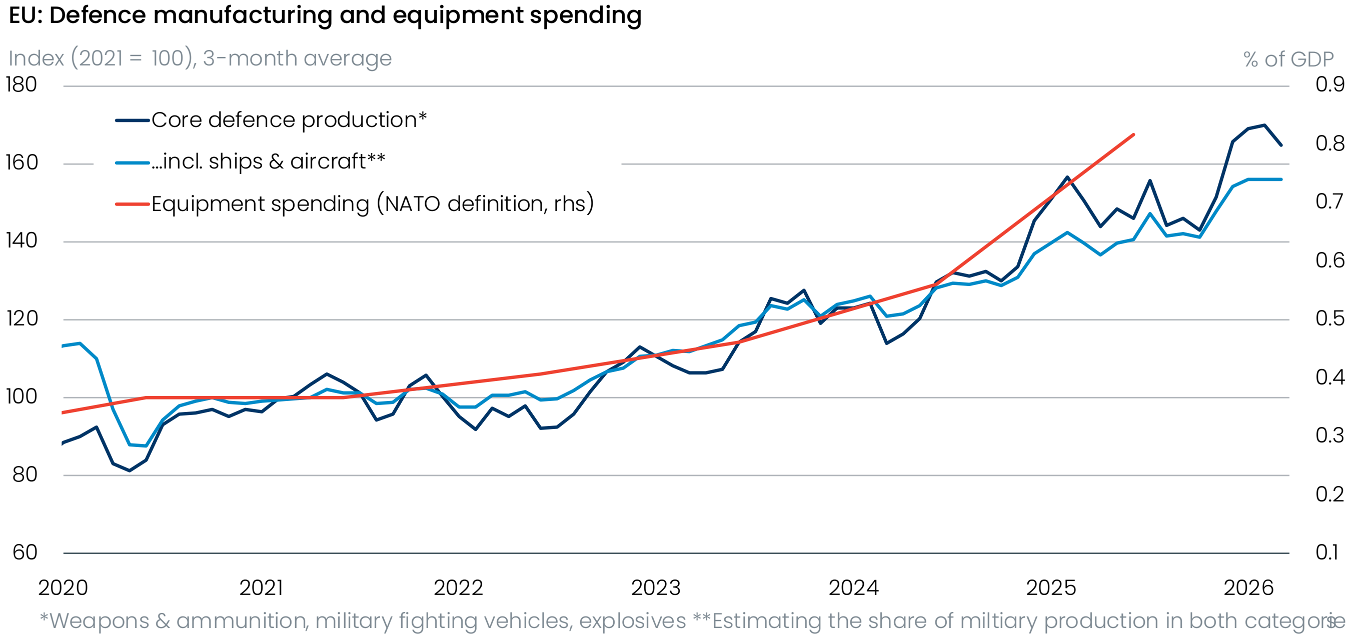
The boost to manufacturing is becoming clear in the data

The defence ramp-up is already clearly visible in manufacturing data. In the core defence sectors, output has almost doubled in the EU since 2021 and is growing at 18% annually. However, this surge is from a relatively low base, and the core sectors (arms & ammunition, explosives, and military fighting vehicles) account only for around 2% of total manufacturing output.

These three sectors account for around 45% of total equipment procurement in 2019-2025 – part of that is imported, although Europe's defence industry is more self-sufficient in these areas. Two other key defence sectors are aerospace and naval; however, EU countries don't publish industrial production data for military and civilian production separately in these sectors (see Technical Appendix).

Defence output continues to scale up in conjunction with the growing defence equipment spending by governments. Given more resources reallocated to the sector, strong investment growth, and durable structural demand, we expect growth should remain strong in the coming years. The effects are less visible in the supply chains for the defence sector, where the impact of higher defence spending is offset by other headwinds, such as high energy costs (particularly in the upstream sectors like basic metals or chemicals), growing competition from China, and weak external demand.

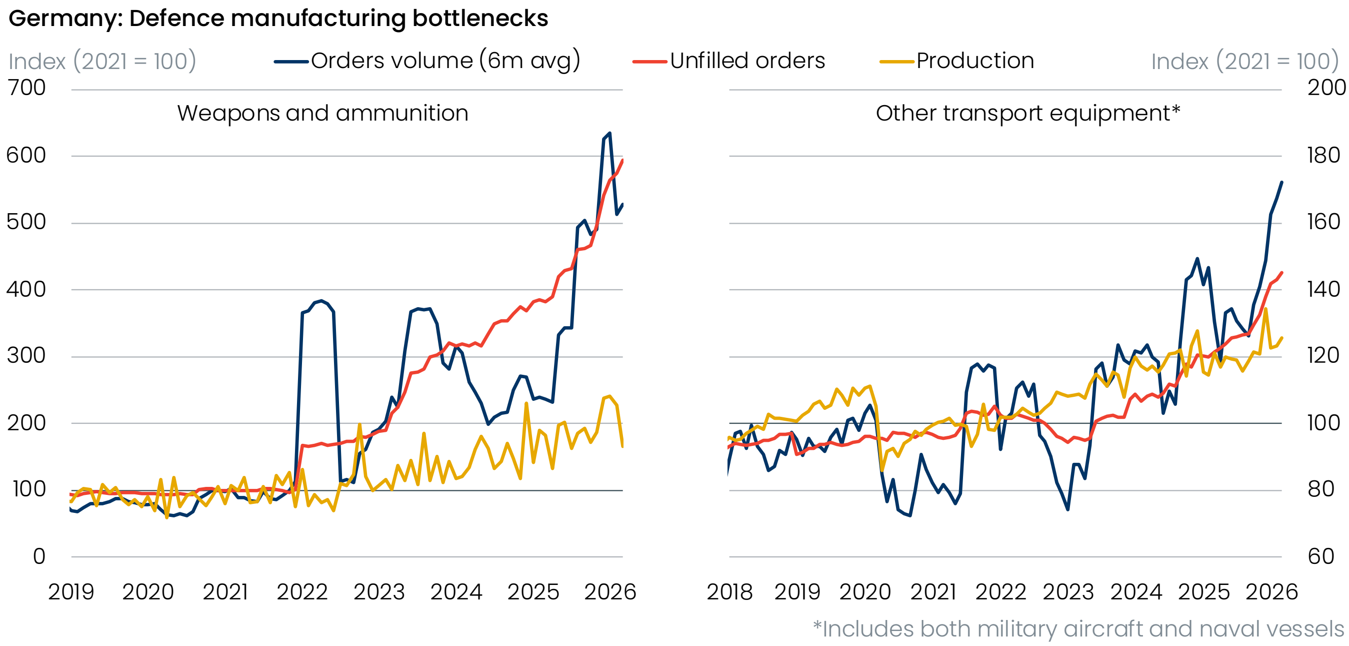
Chart 6: Defence manufacturing output continues to ramp up in tandem with equipment spending



Sources: Oxford Economics, Haver Analytics, NATO

This growth in defence manufacturing should be amplified as the current bottlenecks gradually ease. For now, growth in orders is still outpacing the growth in output, leading to a growing backlog in the sector (Chart 7). There is a clear uptrend in both capacity and utilisation as existing companies scale up and absorb labour from other more subdued industrial sectors, and new firms enter the defence market, repurposing existing production lines. There's also substantial new investment flowing into defence manufacturing, but for the time being, production will continue to lag demand.

Chart 7: Backlogs continue to build in defence manufacturing

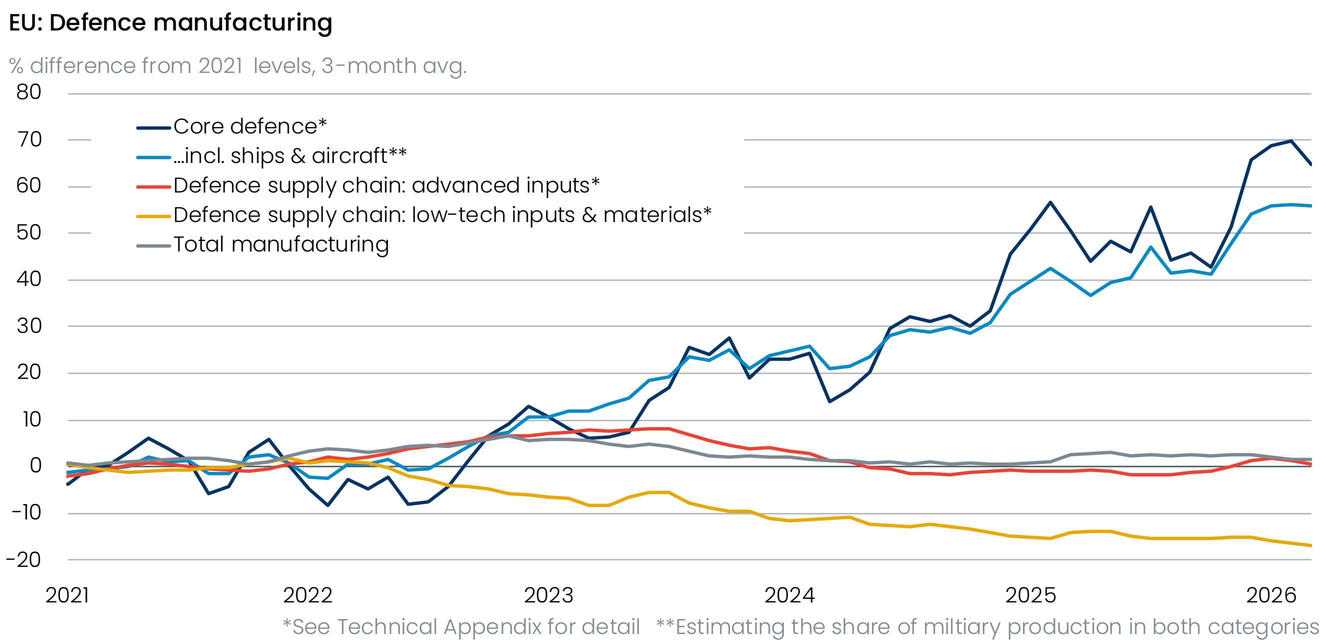


Sources: Oxford Economics, Haver Analytics

On the whole, defence manufacturing isn't particularly exposed to the Middle East conflict-driven negative supply shock, though it is not completely insulated. Both defence manufacturing and its supply chain use oil products and aluminium, as well as microchips in advanced electronics. Some upstream sectors such as metals and explosives are also energy-intensive, though we expect the production bottlenecks to be the main driver of upward pressure on prices. Growth in producer prices in defence-related sectors runs at more than twice the rate of the industry total (excluding refined petroleum products).

Our view is that the EU's shift to greater defensive self-sufficiency, including stronger domestic defence manufacturing capacity, could be a part of a broader structural realignment of European industry. So far, we've only seen early indications. However, Europe has a complex and advanced defence manufacturing sector – its development and modernisation could provide an offset to the structural decline in energy-intensive manufacturing sectors like chemicals (Chart 8). However, it's important to note that for most of the advanced and low-tech upstream sectors, defence manufacturing represents only a small part of the overall demand.

Chart 8: The rise in defence manufacturing output is helping offset the decline in energy-intensive sectors



Sources: Oxford Economics, Haver Analytics

Defence spending will cushion but not offset weakness elsewhere

The ramp up in defence spending has become one of the few positive growth drivers in Europe in a swathe of continuous negative shocks. We see the trend as durable, particularly with the German fiscal stimulus, which will provide positive demand spillovers to other EU countries, and we expect its impact to build through 2027-2028 as industrial capacity scales up and sectoral bottlenecks ease.

However, we think defence spending will be a cushion to some of the economic headwinds, not a full offset. First, defence spending features only low fiscal multipliers on average. Much of defence spending adds little to the economy's productive capacity, though there are some exceptions in dual-use products, digital tech and infrastructure. The import leakage also reduces the overall bang for the buck. We think fiscal multipliers overall are dampened at the moment by the very tight labour market and high borrowing costs.

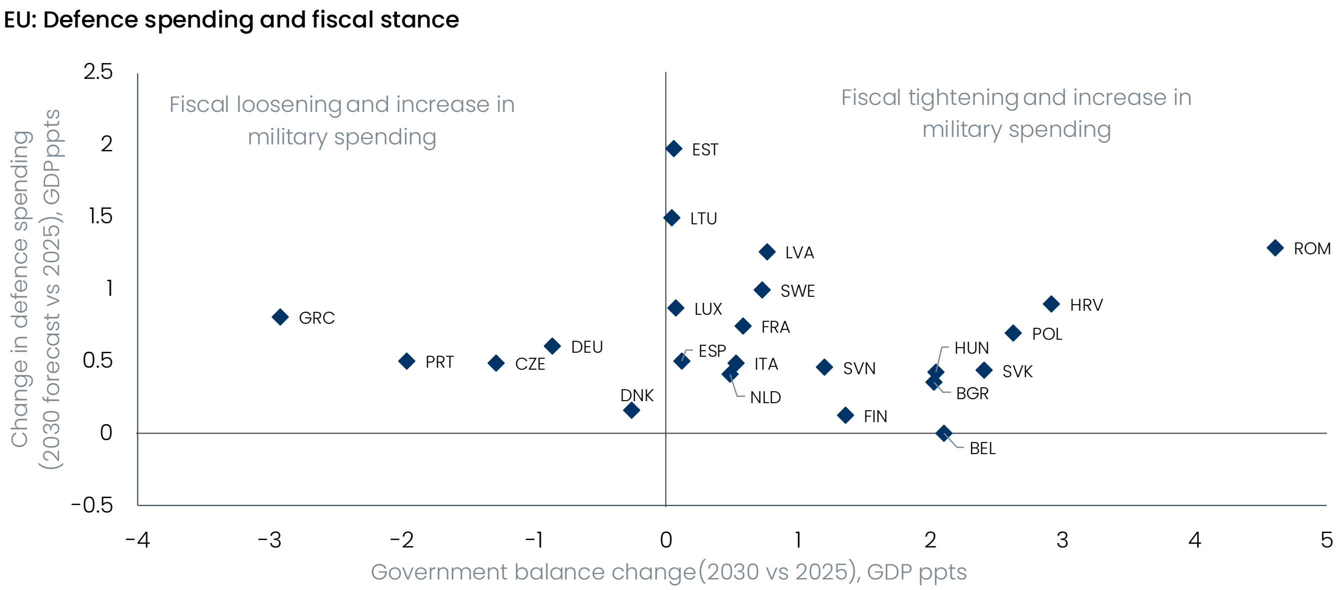
What's more, in upstream sectors particularly, such as chemicals or metals, the boost from defence spending isn't strong enough to reverse the structural decline driven by high energy costs and growing Chinese competition. Rather, it can only mitigate it.

Fiscal space is becoming strained but there's little shift from debt financing

As we have noted previously, we don't expect higher defence spending to be permanently deficit financed. On the contrary, in most countries we expect higher defence spending to be accompanied by an improvement in fiscal balances when comparing 2030 with 2025. And where we expect some fiscal loosening, this is generally in countries that are starting from relatively sound fiscal positions in terms of their government balances, such as Germany, Portugal, and Greece (Chart 9).

We expect any funding shortfall to be addressed either through higher taxes or expenditure cuts elsewhere. However, spending reductions are more likely to come from areas such as subsidies, rather than from core expenditure items, including pensions and education. Moreover, if governments face difficulties in identifying sufficient fiscal space within their current budgets, we don't expect them to prioritise military spending at the expense of existing expenditure commitments. In particular, if political constraints make it challenging to find offsetting measures, we expect governments to scale back planned increases in defence spending.

Chart 9: We expect the future increases in military spending to be financed by expenditure cuts and tax hikes



Sources: Oxford Economics, NATO

This has already occurred in some countries, such as Italy, where a slightly higher fiscal deficit than the government's target prevented the country from exiting the Excessive Deficit Procedure and led to the postponement of planned increases in military expenditure.

We see only a limited role for EU-level financing tools, despite the strong uptake of the SAFE instruments. In fact, 18 out of 27 member states have applied for the €150bn pool (most notable is Poland with €43bn), though the 'frugal' northern states – Germany, Netherlands, and Sweden – are conspicuously missing. Given the lack of progress on common financing in recent years and diverging appetites on defence spending among member states, we don't expect EU-level financing to play a major role.

Box 1: Technical appendix

A key challenge in analysing defence spending, production, and imports is the lack of granularity in the data or specific defence data series. We describe the key challenges and our approaches to resolve them below.

Defence manufacturing. Manufacturing data even at the granular NACE rev.2 level aren't detailed enough to fully separate out the core defence manufacturing production, or its associated supply chain. The same applies to

European input-output tables. We leverage AI-driven supply chain analysis of granular industrial production data to create industrial production indices for three defence-related groups: core defence manufacturing, low-tech inputs, and advanced inputs.

Core defence manufacturing includes the manufacture of weapons and ammunition, military fighting vehicles, and explosives – almost all the entire production of these sectors is for military use. We also add production of ships and airplanes; however, only around 20% and 25% of production in these sectors respectively is for military use, which we try to adjust for.

Low-tech inputs are the basic intermediate goods used in the production of defence tech: metals, plastics, gases and other materials. Advanced inputs are more complex intermediate and capital goods used in production and assembly of final military goods – items like computers, microchips, optical instruments, and motors – as well as installation, repair, and maintenance. Some are also final goods not falling under the umbrella of core defence manufacturing, such as trucks and other logistics vehicles. A complete list of the defence-related sectors can be found in Table 1.

To construct the indices, we weigh the induvial sectors by their respective share on total production using granular German industrial production weights. We apply an adjustment to certain large sectors with only small defence-related sectors such as automotive. An important caveat is that only small share of output in most of these sectors flows into defence manufacturing.

Defence imports. We calculate the share of imported defence equipment from the granular HS-6 customs trade data. We use AI analysis to find defence-related goods categories in the trade data, cross-checked with other similar estimates such as Mejino-López and Wolff (2024), IISS (2025) or EDIS (2025)

We split the defence-related goods into core military (goods with overwhelming or majority military use such as weapons, military fighting vehicles, or explosives) and dual-use (items like drones, optical and navigational instruments, engines, and communications equipment). Similar to manufacturing data, a lack of granularity makes analysis of defence imports challenging, even in granular customs data. For example, warships are a separate category of imports, but civilian and military airplanes or helicopters are bundled together. We adjust the weight of the dual-use products in total defence imports to reflect their mixed use. Some dual use products (e.g. optical sights) serve as inputs or components in European defence production – our measure of import share therefore measures a wider reliance on imports beyond pure military equipment final goods.

As Harmonized Standard (HS) data are on a customs basis, this distorts the data for countries with large ports that serve as an entry point for exports, particularly Belgium and the Netherlands.

Input-output analysis. We calculate sectoral and country spillovers of defence spending using the European Commission's FIGARO multi-country input-output tables. Given the data granularity limitations, we focus on the fabricated metal products sector (NACE C25), which includes the manufacture of weapons and ammunition (comprising the production of infantry weapons, artillery and ammunition such as shells, bombs or missiles).

Another caveat is that defence supply chains differ from those of other manufacturing sectors – they tend to be more subject to home bias and carry more stringent regulatory requirements in terms of security clearance and licensing, which often results in a narrower and more concentrated upstream supply chain.

Table 1: Defence manufacturing categories

CATEGORY	NACE	SECTOR	MILITARY USE
Core defence	25.4	Manufacture of weapons & ammunition	Small arms, artillery, missiles, bombs, munitions, explosives
	30.4	Manufacture of military fighting vehicles	Tanks, APCs, IFVs, military engineering vehicles

CATEGORY	NACE	SECTOR	MILITARY USE
	30.3	Manufacture of air & spacecraft & related machinery	Military aircraft, UAVs, missiles, military spacecraft
	30.11	Building of ships & floating structures	Naval shipbuilding, frigates, destroyers, patrol vessels
	20.51	Manufacture of explosives	Propellants, explosives, military energetic materials
Low-tech inputs	20.11	Manufacture of industrial gases	Rocket fuels, welding gases
	20.12	Manufacture of dyes & pigments	Military coatings
	20.13	Manufacture of other inorganic basic chemicals	Missile oxidizers, energetic chemical precursors
	20.14	Manufacture of other organic basic chemicals	Propellant & explosives chemistry inputs
	20.16	Manufacture of plastics in primary forms	Composite materials
	20.17	Manufacture of synthetic rubber in primary forms	Seals & tyres
	22.11	Manufacture of rubber tyres & tubes	Military vehicles
	22.19	Manufacture of other rubber products	Seals, insulation
	22.21	Manufacture of plastic plates, sheets, tubes & profiles	Composite systems
	22.29	Manufacture of other plastic products	Casings, drone structures
	23.99	Manufacture of other non-metallic mineral products n.e.c.	Ceramics, armour materials
	24.1	Manufacture of basic iron & steel & of ferro-alloys	Armour steel, naval steel, structural metals
	24.2	Manufacture of tubes, pipes, hollow profiles & related fittings, of steel	Gun barrels, hydraulic systems, naval systems
	24.41	Precious metals production	Electronics, sensors
	24.42	Aluminium production	Aerospace structures
	24.43	Lead, zinc & tin production	Ammunition & electronics
	24.44	Copper production	Wiring, motors, radar systems
	24.45	Other non-ferrous metal production	Aerospace alloys
	24.51	Casting of iron	Vehicle structures
	24.52	Casting of steel	Turrets, hulls
	24.53	Casting of light metals	Aerospace castings
	24.54	Casting of other non-ferrous metals	Precision military components
	25.11	Manufacture of metal structures & parts of structures	Vehicle frames, naval sections
	25.5	Forging, pressing, stamping & roll-forming of metal	Armour plates, artillery components
	25.61	Treatment & coating of metals	Armour hardening, anti-corrosion protection
	25.62	Machining	Precision defence machining
	25.73	Manufacture of tools	Military tooling & precision tools
	25.91	Manufacture of steel drums & similar containers	Fuel & ammunition containers
	25.92	Manufacture of light metal packaging	Ammunition packaging & casing
	25.93	Manufacture of wire products, chain & springs	Barbed wire, coil springs, tow chains
	25.94	Manufacture of fasteners & screw machine products	Screws for assembly
	25.95	Manufacture of other fabricated metal products	Propellers, blades, anchors & magnets
Advanced inputs	26.11	Manufacture of electronic components	Defence electronics, chips, radar electronics

CATEGORY	NACE	SECTOR	MILITARY USE
	26.12	Manufacture of loaded electronic boards	Guidance systems, radar boards, avionics assemblies
	26.2	Manufacture of computers & peripheral equipment	Mission computers, embedded battlefield computing
	26.3	Manufacture of communication equipment	Military radios, tactical communications, datalinks
	26.51	Manufacture of instruments & appliances for measuring, testing & navigation	Military fire-control systems, targeting systems, avionics
	26.7	Manufacture of optical instruments & photographic equipment	Thermal optics, targeting optics
	26.8	Manufacture of magnetic & optical media	Data systems
	27.11	Manufacture of electric motors, generators & transformers	Naval propulsion, missile actuation, military power systems
	27.12	Manufacture of electricity distribution & control apparatus	Military power management & electrical systems
	27.2	Manufacture of batteries & accumulators	Military batteries, submarine batteries, drone power systems
	27.31	Manufacture of fibre optic cables	Military communications
	27.32	Manufacture of other electronic & electric wires & cables	Military wiring harnesses
	27.33	Manufacture of wiring devices	Military electrical systems
	27.9	Manufacture of other electrical equipment	Defence electrical systems
	28.11	Manufacture of engines & turbines	Naval engines, aircraft turbines
	28.12	Manufacture of fluid power equipment	Hydraulics for vehicles & aircraft
	28.13	Manufacture of other pumps & compressors	Naval & aerospace systems
	28.15	Manufacture of bearings, gears & driving elements	Transmissions & drivetrains
	28.22	Manufacture of lifting & handling equipment	Logistics & shipyards
	28.29	Manufacture of other general-purpose machinery n.e.c.	General industrial systems
	28.41	Manufacture of metal forming machinery	Defence industrial equipment
	28.49	Manufacture of other machine tools	Precision machining
	28.91	Manufacture of machinery for metallurgy	Armour steel production
	28.99	Manufacture of other special-purpose machinery n.e.c.	Missile production equipment, defence industrial machinery
	29.1	Manufacture of motor vehicles	Military truck industrial base
	29.2	Manufacture of bodies for motor vehicles; manufacture of trailers & semi-trailers	Military logistics vehicles
	29.31	Manufacture of electrical & electronic equipment for motor vehicles	Military vehicle electronics
	29.32	Manufacture of other parts & accessories for motor vehicles	Military drivetrains & components
	33.14	Repair & maintenance of electronic & optical equipment	Military systems repair
	33.15	Repair & maintenance of ships & boats	Naval sustainment
	33.16	Repair & maintenance of aircraft & spacecraft	Military MRO
	33.2	Installation of industrial machinery & equipment	Defence plant installation

Source: Oxford Economics